

WRITTEN QUESTIONS (Total: 100 marks)

Answer **ALL** of the following questions. Marks are indicated at the end of each question. Together they are worth 100% of the total marks for this examination.

Question 1 (10 marks – approximately 18 minutes)

You are a law lecturer of a university in Hong Kong. A first year law student knows that there are two branches of legal professions, but he has not decided which branch of legal professions he would like to join when he graduates from the law school. He comes to seek for your advice and would like to know the differences between the practices of solicitors and barristers.

Required:

In relation to the work of the legal professionals in Hong Kong:

Explain the differences between the practices of solicitors and barristers.

(10 marks)

Question 2 (15 marks – approximately 27 minutes)

Peter is an opera organiser who arranges famous singers to perform operas in Hong Kong. Peter signed two contracts with two famous opera singers, namely, Mary and Lisa, respectively, to perform an opera in Hong Kong. The contracts provided the terms that both singers must:

- (i) perform the opera for three months starting from December in Hong Kong; and
- (ii) come to Hong Kong for 10 days of rehearsals before the opera in November.

Mary attended all 10 days of rehearsals but was unable to arrive before the opening night due to the overrun of her previous opera performance in Singapore and was not able to perform on the first four nights. Lisa was also only able to attend six days of rehearsals due to the overrun of her previous opera performance in Malaysia but would be able to perform the opera for the whole three months.

Before starting the performance, Peter replaced both Mary and Lisa with another opera singer. Peter would like to know the nature of the terms and whether he is entitled to terminate the contract with Mary and Lisa and the remedies for Peter if Mary and Lisa have breached the contracts made with him.

Required:

In relation to law of contract:

- (a) Analyse whether Mary and Lisa have breached the contracts that they have made with Peter, and if so, what is the nature of the contract terms that Mary and Lisa may have breached.**

(5 marks)

- (b) Analyse the remedies for Peter if Mary and Lisa had breached the contracts.**

(10 marks)

Question 3 (10 marks – approximately 18 minutes)

Calvin and David have been running a very successful electronic business in Hong Kong in the form of private limited company incorporated in Hong Kong. It is the plan of Calvin and David to list the company on the Main Board of the Hong Kong Stock Exchange and to offer the shares of the company to the public.

The lawyer of the company advised Calvin and David that they have to change its status from a private limited company to a public limited company for the purposes of listing on the Hong Kong Stock Exchange.

However, Calvin and David do not understand the steps to convert a private limited company into a public limited company in Hong Kong.

Required:

In relation to company law:

Explain the steps to convert a private limited company into a public limited company for the purposes of listing on the Hong Kong Stock Exchange.

Note: You are not required to discuss the Listing Rules.

(10 marks)

Question 4 (15 marks – approximately 27 minutes)

Benny is a newly qualified chartered financial analyst working in a corporate finance company as a financial analyst.

Benny is also lecturing corporate finance at a local university in the evening on a part-time basis. In one of his lectures, he discussed and analysed the business prospect of a listed company in Hong Kong, and concluded that this listed company has good potential to grow in the next 12 months.

Two of his students, Sam and Danny, learned from this information in the class, and they decided to invest in this listed company and buy its shares from the stock market.

After about 10 months, the share price of this listed company collapsed. Sam and Danny suffered from serious financial losses. They wanted to sue Benny for negligent misstatement.

Required:

In relation to tort of negligence:

(a) Explain the term "negligent misstatement".

(5 marks)

(b) Analyse whether Benny is liable for negligent misstatement.

(10 marks)

Question 5 (15 marks – approximately 27 minutes)

Edward and Samuel are brothers. Edward is a good chef for Chinese cuisine and Samuel is good at making coffee and tea. They both had their own restaurants. Five years ago, they decided to merge the two restaurants into one big restaurant for the purpose of listing on the stock exchange.

As a result of the merger, a private company was incorporated by Edward and Samuel in Hong Kong. The company adopted the Model Articles for Private Companies Limited by Shares as the articles. The corporate governance structure is that Samuel, Edward and his wife Thalia are directors. It was agreed that Samuel, Edward and Thalia shall participate in the management of the company. Only Samuel and Edward are working full-time and Thalia is assisting the paper works on a part-time basis. They each have a director's salary in the sum of HK\$100,000 per month. Samuel, Edward and Thalia each owns one share in the company.

Recently, Samuel, Edward and Thalia had strong arguments over the issue of listing on the stock exchange. As a result, Edward and Thalia decided that they were unable to work with Samuel. Samuel was removed from the directorship by Edward and Thalia. In this regard, Samuel would like to bring an action against Edward and Thalia and/ or the company.

Required:

In relation to company and winding-up laws:

- (a) Analyse whether Samuel may apply for an unfair prejudicial remedy under the company law.**

(10 marks)

- (b) Analyse whether Samuel may petition to wind up the company under the winding-up law.**

(5 marks)

Question 6 (15 marks – approximately 27 minutes)

Williams was an employee of a pharmaceutical company and he entered into an agreement with a non-compete clause with the company in the event of his leaving. (You may assume the clause is reasonable and valid under contract law.)

Williams recently discovered that a new drug from a supplier was very popular. Williams left the company and set up a new company to sell the new drugs. Williams sought to evade the non-compete clause under the agreement signed with his former employer by forming a new company by his wife as the sole director and shareholder. Williams only acts as a consultant of this new company.

Williams' former employer would like to enforce the non-compete clause against Williams and his wife's company.

Required:

In relation to company law:

- (a) Explain what are the principles of separate legal entity and limited liability.**
(5 marks)
- (b) Analyse whether Williams' former employer could enforce the non-compete clause against Williams and his wife's company by referring to the principles under Question 6(a).**
(10 marks)

Question 7 (20 marks – approximately 36 minutes)

Maggie is a sole proprietor of a traditional Chinese dried seafood shop in Sheung Wan. Steven is an employee and a merchandiser for the shop.

Steven is responsible for buying dried seafood for the shop. His responsibilities include looking for suppliers who have good dried seafood with good price. He is authorised by the shop as an agent to sign contracts.

Steven realised that there were stolen dried seafood from a supplier at a very attractive price. The supplier agreed to give Steven a 5% rebate as a secret commission without the permission from his employer. Steven signed and entered into a contract with the supplier as an agent for the shop.

Later, a Police Officer came to the shop and told Maggie that the dried seafood bought by Steven were stolen goods and the dried seafood were confiscated.

Required:

- (a) Apply sale of goods laws and analyse the ownership of the dried seafood.
(5 marks)
- (b) Apply anti-corruption laws and analyse what law(s) and provision(s) have been violated by Steven.
(5 marks)
- (c) Apply employment law (common law and statute) and analyse whether the shop can terminate the employment with Steven without notice having regard to Steven's conduct.
(5 marks)
- (d) In relation to agency law, analyse the duties of Steven as an agent.
(5 marks)

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